"Following a sharp sell-off, a stock that closes near its day's high suggests strong intraday buying pressure, which likely attracts short-term traders and liquidity providers expecting further upside. This can create a temporary price distortion, leading to a short-term rebound over the next 3 trading days as these market participants continue to support the price."

$$\left(\frac{\mathrm{WMA}(\mathrm{close},10)-\mathrm{close}}{\mathrm{WMA}(\mathrm{close},10)+10^{-8}}>0.02\right)\wedge\left(\frac{\mathrm{DELAY}(\mathrm{close},5)-\mathrm{WMA}(\mathrm{close},10)}{\mathrm{WMA}(\mathrm{close},10)+10^{-8}}<0.02\right)$$

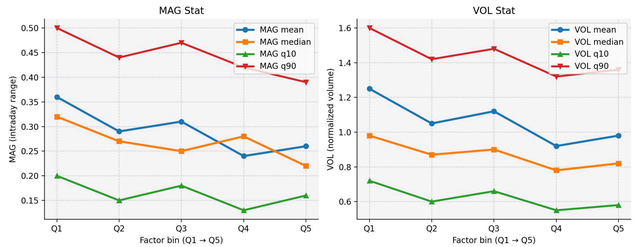
AlphaAgent

[Output]

The DIR feature shows a consistent increasing pattern in both mean and median. However, other features like MAG, VOL, and POS do not show consistent monotonic patterns across multiple statistics. The non-trivial separation is not evident as the changes in statistics are not consistently large across bins.

[Decision]

Fail



$$-\mathrm{CORR}\left(\mathrm{RANK}(\Delta(\log(\mathrm{volume}),2)),\mathrm{RANK}\left(\frac{\mathrm{close}-\mathrm{open}}{\mathrm{open}}\right),6\right)$$

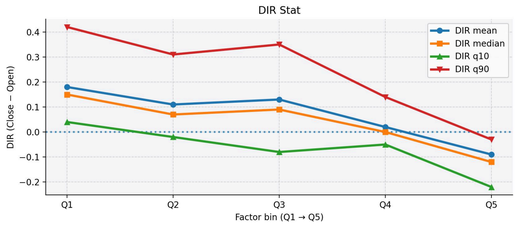
Traditional($Alpha_{002}$)

[Output]

... However, the given polarity is 'higher_is_more_true', which contradicts the observed decreasing pattern. Therefore, the polarity consistency check fails. Despite the monotonicity and robustness across statistics, the contradiction in polarity leads to a FAIL verdict.

[Decision]

Fail



$\mathrm{TS_ZSCORE}(\mathrm{close},\ 10)$

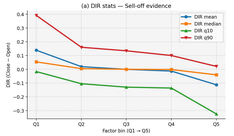
Ours($Observation_1$)

[Observation]

Measures how far the current close is from its 10-day mean in units of standard deviation. Lower values indicate a significant drop in price.

[Output]

... DIR shows a consistent location shift with both mean and median decreasing across bins, indicating a decline in price. ... suggesting more extreme negative price movements. POS further confirms this with a decreasing mean and median, indicating a close location moving lower.

[Decision]

PASS